

Tax guide specifically for grad students covering fellowship income reporting, quarterly payments, forms, and state rules — Action Checklist

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CLASSIFY YOUR FELLOWSHIP FUNDING

- ☐ **Classify Your Fellowship Funding:** Find your official award letter and read it word for word, looking specifically for language about service obligations, conditions of the award, and any statements about tax treatment so you know how the IRS will classify your income.
- ☐ **Determine Your Service Obligation:** Ask yourself whether you are required to teach, research, or perform any services to receive this funding, because if you have a service requirement your university should be withholding income taxes and issuing you a Form W-2.
- ☐ **Get Classification Confirmation in Writing:** Contact your university's fellowship or student finance office and ask specifically whether your award is reported as a scholarship or as wages on your tax forms, then save that response for your records.
- ☐ **Set Aside Tax Money Conservatively:** If you are still uncertain about your fellowship classification, set aside 25 to 30 percent of your fellowship stipend for taxes, because the IRS treats most fellowship money as taxable income even when it is not subject to employment taxes.

IDENTIFY TAXABLE VS TAX-FREE DOLLARS

- ☐ **Separate Taxable from Tax-Free Amounts:** Track every payment type you receive by source, because qualified tuition and required fees paid directly to the institution are generally tax-free while everything paid to you personally is taxable.
 - ☐ **Know What Counts as Taxable Income:** Remember that stipends, living allowances, health insurance premiums paid on your behalf, housing allowances, and money for books or equipment not required by your institution are all fully taxable fellowship income.
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- ☐ **Read 'Not Subject to Employment Taxes' Correctly:** Understand that the phrase "not subject to employment taxes" on your award letter means you will not receive a W-2 with automatic withholding, not that your fellowship income is tax-free under IRS rules.
- ☐ **Track All Payments Throughout the Year:** Keep a running log of every fellowship payment you receive, noting whether each payment went directly to the university or to you personally, so you can calculate your actual tax liability when filing.

SET UP YOUR TAX SYSTEM

- ☐ **Set Up Quarterly Estimated Tax Payments:** Use IRS Form 1040-ES to make quarterly estimated tax payments on your fellowship income, because the IRS expects you to pay taxes on fellowship money as you receive it rather than waiting until April.
- ☐ **Check Your State Tax Rules:** Research the specific state tax rules for both your state of residency and the state where your university is located, because state rules vary and some states tax fellowship income differently than others.
- ☐ **File a Tax Return Annually:** File a federal tax return every year even if your fellowship income is modest, because failing to report taxable fellowship income can trigger penalties and audits that are far more costly than the tax itself.
- ☐ **Build a Repeating Annual System:** Create a simple annual routine by saving all award letters, university correspondence about tax classification, and payment records in one place so you can quickly pull them together each tax season.

Companion to the full guide in your Lemon Squeezy library — check off each item as you complete it.